CAROLINE MORRISON · PRODUCT DIRECTOR, CORE MÉXICO · 4 SEPTEMBER 2026

Core México Case Strategy

Mass Market

Become the most beloved bank in México.

We are on a mission to unleash the power of the global majority, becoming the most beloved bank in México.

THE CUSTOMER'S PROBLEM

Customers can't see a path to financial power.

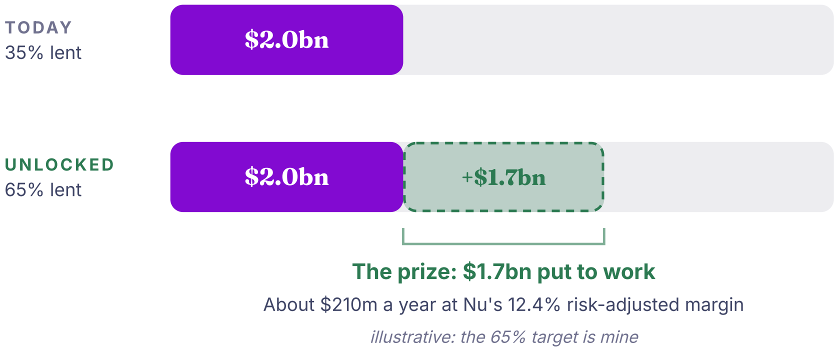
63% can't get formal credit. Those who can pay a premium, or start below their true capacity.

So they build creative, albeit high-risk, workarounds.

NU'S PROBLEM

Nu can't see the customer clearly.

We see what **16 million people spend**. Not what they **earn**, so most of the book can't be lent.



Payroll data is what moves 35% to 65%.

We are uniquely positioned to break limiting assumptions about the economic power of the global majority. The licence makes payroll the customer's right, not the employer's favour, and that turns the card they love into **the bank they trust with their whole financial life**.

Facts. Nu Holdings Q2 2026: México deposits US$5.7bn, loan-to-deposit 35%; group risk-adjusted NIM a record 12.4%, guided to hold · CNBV authorised Nubank México as a banca múltiple, 9 July; 16m customers by end-July · CNBV/INEGI ENIF 2024.

Assumptions. 65% lent is my target, not a disclosed plan · the 12.4% margin applied to México's incremental balances is order-of-magnitude, not a forecast · the price-premium claim rests on a personal-loan CAT near 85%, my read of public disclosure.

TWO WAYS OF EARNING · ONE PLAN

Customers earn two ways. We solve for both.

Today, financial lives live in the formal and the informal economy.

Now

ACT ONE · THE FORMAL ECONOMY

22.8M

ON IMSS PAYROLL

Payroll income, seen for the first time.

THE DOOR	Trae tu nómina. The licence makes payroll her right.
THEY GET	A limit sized on her salary, a higher yield, money the day it lands.

Next

ACT TWO · THE INFORMAL ECONOMY

32.6M

EARNING INFORMALLY

Steady income, with no payslip to prove it.

THE DOOR	Observed income: the remesa, the tienda, and what he tells us.
THEY GET	A visible path to a higher limit, and credit at the right time.

One plan for both. Each step is gated on income Nu can see, and each step pays the customer back before it pays us.

22.8 million salaries. Almost none land at Nu.

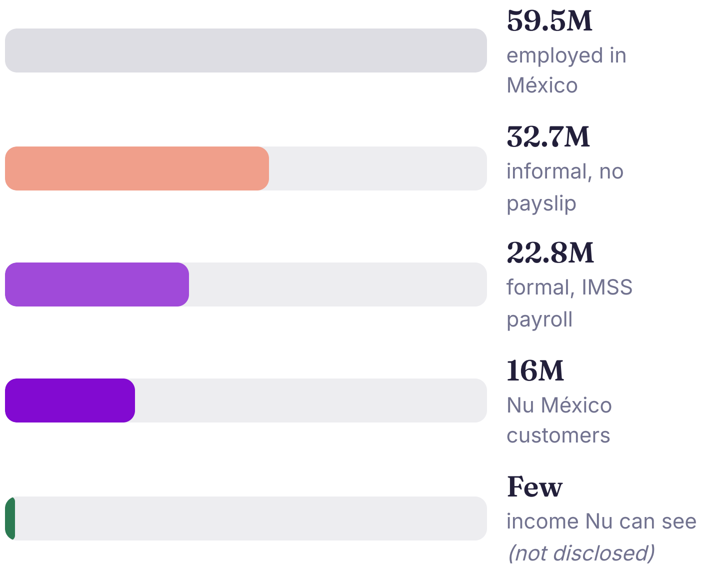
THE CUSTOMER

Lupita, 29
Auxiliar administrativa
Guadalajara

EARNS	$8,420 a quincena
FORMAL	IMSS-registered, 4 years
WITH NU	Card, 2 Cajitas, recargas
SALARY	Lands at her boss's bank

> *"My credit line is whatever the bureau says, not what I earn."*

THE SIZE



The gap is the strategy. 27% of México's workers bank with us. Nu can see income for few of them, and has room to grow.

THE UNLOCK

1 **Payroll is a banking activity.**
A SOFIPO could not offer nómina portability. A bank can, insured to 400,000 UDIs.

2 **The worker chooses, not the boss.**
Portability is her legal right: free, ten business days, no employer involved.

3 **We already know who they are.**
Her payroll pattern is already in our data. We do not have to find her. We have to ask.

HER	A line sized on her salary. Money the day it lands.
NU	Deposits that stay, income to lend against, autodebit aligned to pay cycles.

Anyone can match a rate, but no one can match a salary that already lands here.

Facts. IMSS, June 2026: 22,779,704 registered positions · INEGI ENOE: ~59.5m employed, informality 55.0% at July 2026 · Nu Holdings Q2 2026 and July update: 16m México customers.
Assumptions. Nu has not disclosed how many customers have income it can see; I assume low single digits, and the bar is drawn at 2% to show scale · Lupita is a composite, and her portrait is an illustration.

THE MASS-MARKET BUNDLE · Q1

Nu's products, built into a ladder of mutual value.

The more a customer invests in the relationship, the more they get in return.

GATE · ANYONE

Nu

- Account, card, Cajita at 7%

Ships today.

GATE · ONE PURCHASE A MONTH

Nu Turbo

- Cajita Turbo at 13%, capped at $25,000

The gate rewards a transaction, not a relationship.
One $20 purchase earns up to $3,250 a year.

GATE · YOUR SALARY LANDS HERE

Nu Nómina

- 15% on a month of income, quoted as CETES + 8.5
- Card limit on real income
- Autopay the day after payday
- Préstamo timed to the quincena
- Insured to 400,000 UDIs

New. The licence makes it a right.

The premium budget does not grow. It moves, from rewarding a transaction to rewarding a salary.

TWO WAYS OF EARNING · ONE PLAN

Now the other half.

Payroll reaches 38% of workers. The informal door reaches the rest, and it uses the same ladder, the same pricing rules and the same growth hub.

Done

ACT ONE · THE FORMAL ECONOMY

22.8M

ON IMSS PAYROLL

Payroll income, seen for the first time.

THE DOOR	Trae tu nómina. The licence makes payroll her right.
THEY GET	A limit sized on her salary, a higher yield, money the day it lands.

Now

ACT TWO · THE INFORMAL ECONOMY

32.6M

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Steady income, with no payslip to prove it.

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ACT TWO · THE INFORMAL WORKER

33 million people earn steadily with no paycheck to prove it, but how we bundle credit and rewards is a strong proxy.

THE CUSTOMER

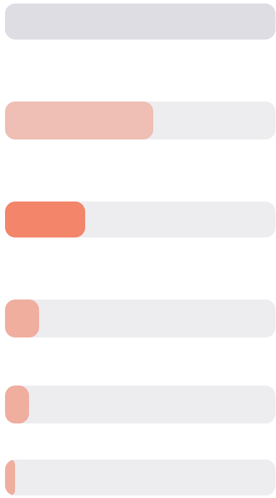
Don Beto, 47

Tienda de abarrotes
Morelia, Michoacán

EARNS	~$6,050 a month, tienda + remesas
FORMAL	None. No IMSS, no payslip
WITH NU	Cuenta Nu, remesas 11 months running
CREDIT	Denied, so he borrows from a prestamista

> *"When I ask for credit they look at me like I have nothing."*

THE SIZE



US$61.8bn

IN REMITTANCES LAST YEAR, 99% ELECTRONIC

Payroll reaches 38%. Observed income reaches the rest.

THE SOLUTION · LOWER RISK WITHOUT A PAYSLIP

1 **Expose growth, and customers de-risk themselves.**
Show him what raises his line, plus cashback, Nu+ points and referrals. The customer who is climbing is the one repaying.

−10.2%
DEFAULT RATE, RELATIVE −1.43 PP, INTENT-TO-TREAT

+2%
NEXT-LOAN RETENTION, COMPOUNDING EACH CYCLE

"I want to see my name next to a higher limit. It motivates me to work harder at my job too."

A customer in the test. Prior role, effect size only.

2 **Counterfactual scoring: a promise we can keep.**
A specific next limit, risk-weighted and personal to him. He pays on time, and we honor it.

3 **A Nu agent that turns conversation into underwriting.**
He asks it how to grow. It learns how the tienda runs and when the remesa lands, and maps that to our credit labels.

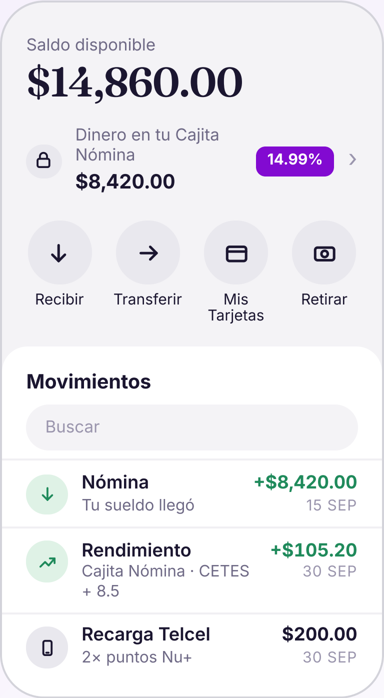
4 **Alternative data.**
Rollee and Palenca for platform earnings. A third signal, never the pipe.

Expand access to liquidity through the right offer at the right time.

Facts. INEGI ENOE, Q1 2026: 32.6m in informal work (54.8%), components as shown · Banxico: remittances US$61.8bn in 2025, 99.1% by electronic transfer.
Assumptions. Beto is a composite; portrait and income are illustrative · test results are from a prior employer, cited as effect sizes only.

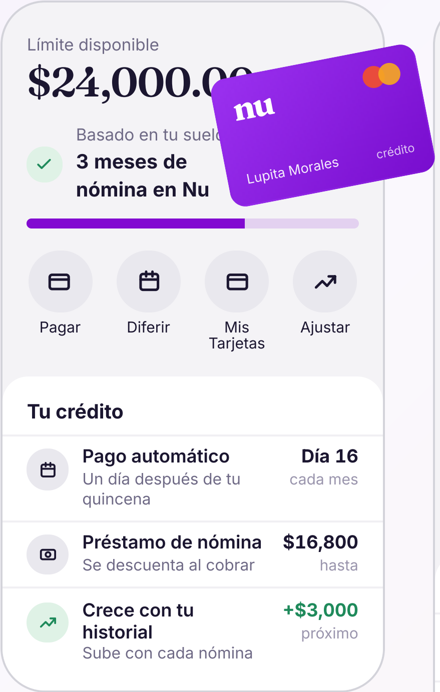
WHAT THEY GET

The same Nu they already love, with even more ways to grow.



Account

Income the day it lands, salary or remesa. Yield quoted as a spread.

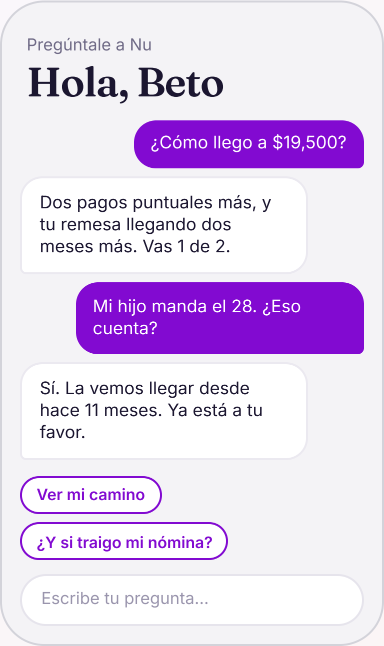


Credit

A limit sized on what you earn, not what a bureau says. A card that pays itself.

Growth hub

See exactly what raises your line, and every other way to earn.



Ask Nu

Ask how to grow, in your own words.

Screens modelled on the Nu México app's current Cuenta and Cajitas surfaces, with the proposed changes applied. Amounts are illustrative.

THE FLYWHEEL

Creating customer value is creating business value.

The Right Fit

Nu meets capacity needs and customers stabilize

The Right Time

Customers realize their relationship value and trust and agency compound

The Right Pathways

Nu unlocks access to new products and growth compounds

Increase
Originations
and **Retention**
by right-fitting **pLTV**

YIELD STRATEGY & MASS-MARKET PRICING · Q3

Every turn of the flywheel makes us better at pricing.

The same three questions before every rate decision. The flywheel is what finally lets us answer them.

THE QUESTIONS

1. **What do we pay, and what do we make?**
   We pay 7%, or 13% on the first $25,000. We make about 25% if we lend it, 6.5% if it sits.

2. **What does the customer do to earn it?**
   Today, a single purchase. Tomorrow, income Nu can see.

3. **How risky are they, really?**
   We can now see what they earn, whether they climb, and who pays back.

THE LEVERS

Deposits

The rate we pay
Who qualifies for it
How much of their money it covers
Fixed, or tied to the market

Loans

The starting price
What earns a lower one
The limit

THE CALL

Deposits

15% on one month of your income, for anyone whose income Nu can see. 13% stays for now. Both tied to the government rate.

Loans

One starting price for everyone. Lower risk earns a lower price. Risk sets the limit, and the limit grows.

What we trade. We give up the deposits that only came for the rate, and some margin on the riskiest borrowers, to buy income that stays and customers who climb.

Facts. Nu México rate card, Sep 2026: 7.00% base, Turbo 13% capped at $25,000 · TIIE de fondeo 7.00% · CETES 28d 6.49% · loan-to-deposit 35%, Nu Holdings Q2 2026. **Assumptions.** ~25% net lending yield · default result from a prior growth-hub test, effect size only.

YIELD STRATEGY & MASS-MARKET PRICING · Q3

Four options for the 13%, and what each one trades.

	A · Keep it as is	B · Cut it to 11%	C · Gate it on income	D · Add 15% for income RECOMMENDED
WHAT IT IS	13% for anyone who buys once a month, on the first $25,000.	11% on the same terms.	13% only for customers whose income Nu can see, on one month of it.	13% stays. Add 15% on one month of income for anyone whose income Nu can see.
WHAT IT COSTS	Up to $1,500 per customer a year over the interbank rate, for a single transaction.	Up to $500 per customer a year less.	The same money we spend today.	About $340 a year more per salary customer. 15% on a month's pay still costs less than 13% on $25,000.
WHAT IT BUYS	Activity. Not income, not a bank relationship.	Nothing new.	Income that stays and can be lent.	The same income, plus a headline nobody can match. Nobody loses anything. More deposits that stay, so lower loan prices too.
WHAT IT RISKS	Two-thirds of the book stays unlent.	Balances leave, competitors match, and it makes the news.	Transaction-only customers drop to 7%. Some leave.	We keep paying for transactions, not relationships, for another year.
THE DATA THAT DECIDES	**The 5 January cut, 15% to 13%:** how many pesos left, by segment. Unread, in our data. · **Share of Turbo balances** from customers with no income Nu can see. · **Loan-to-deposit**, 35% today. · **Loss rate** where Nu can see income vs not. · **Competitor rates**: Klar, Stori, Ualá, Mercado Pago.			

Recommendation: Option D now, Option C by month 12. Launch the 15% while it is pure upside. Once income is landing and the January data is read, trim the transaction tier. **And the deposits D brings in are cheaper money, which means cheaper loans.**

Facts. Nu México rate card, Sep 2026 · TIIE de fondeo 7.00% · CETES 28d 6.49% · loan-to-deposit 35%, Nu Holdings Q2 2026. **Assumptions.** $1,500 and $500 are per-customer ceilings on a $25,000 cap · $340 is 200bp on a $16,840 month, two quincenas of $8,420 · the January cut has not yet been read by segment; that analysis is week one.

Everywhere we deploy AI, we do it with excellence.

AI can only make things better for the customer. A person owns every decision.

HOW WE BUILD

AI in the team's hands.

SUCCESS

Team velocity up 30% from AI tooling. The January rate-cut analysis done in days, not a quarter.

GUARDRAILS

- A person signs every decision.
- No customer data in tools without a contract.
- AI drafts. Humans own.

HOW WE DECIDE

Models that size a limit and lower a price.

SUCCESS

Lending from 35% to 65% of deposits with no rise in loss rate. **Zero outcome gaps** by gender or other biases, checked monthly.

GUARDRAILS

- Personalisation only ever moves a price down.
- Removing gender does not remove bias. Proxies survive and gaps drift. Test outcomes monthly, pull the model when a gap opens.
- Every decision explainable, with a person to appeal to.

HOW WE TALK

An agent the customer can ask how to grow.

SUCCESS

Half of growth-hub users talk to it monthly. What it learns **lifts thin-file approval 10 points** at the same loss rate.

GUARDRAILS

- The customer knows it is an agent, and what it remembers.
- It never sells.

The simplest fairness control is the pricing rule itself. Everyone starts at the same price, and AI, whether a model or a conversation, can only move it down.

Assumptions. Success thresholds are targets I would set, not results.

FIRST SIX MONTHS, THEN 24 · Q8 & Q2

The window just opened. We move first.

The licence lets us land payroll for 16 million people who already bank here. Every month we wait, a licensed competitor can move first.

MONTHS 1–6 · USE THE LICENCE

Get payroll live.

1. **Launch Trae tu nómina**
   To the customers whose payroll we can already see. Needs Account and GBA.
2. **Test 15% on income against 13% today**
   A yield and price sensitivity test, sized from what past cuts taught us. Treasury sets the rate.
3. **Count whose income Nu can already see, then tag it from day one**
   Nu has never published this number. Nothing after this works without it.

SUCCESS Salaries landing. Income behind Turbo balances. An elasticity number in hand.

MONTHS 7–12 · SCALE

Scale what won.

1. **Roll the winning deposit strategy to everyone**
   Segmented where the test says so.
2. **Test the informal package with one cohort**
   Ask Nu, the growth hub, rewards. A test, not a launch. Beto's door opens.

SUCCESS Income landing from both doors.

MONTHS 13–24 · DEPTH

Turn the anchor into depth.

1. **New partner data**
   Rollee, Palenca, and what the agent learns.
2. **New products**
   Insurance, investments. An employer offer only once their people already bank here.
3. **Pricing and yield at the person level**
   The rate and limit each customer has earned. A loss ceiling per segment: cross it and limits stop growing.

SUCCESS Lending from 35% to 65% of deposits. A bank they love.

Months 1 to 6 run on Account, GBA and Credit Card capacity I do not own, and a rate Treasury signs. If payroll slips, the pricing test waits.

See income first. Lend against it. Then price for the person. In 24 months Nu unlocks higher levels of economic power for its customers, becoming the relationship they love and trust.

ALIGNMENT WITHOUT AUTHORITY · Q6

When the customer wins, we all win.

Align on a clear, measurable vision first. The trade-offs reveal themselves. Say Card's roadmap collides with a bundle on the licence clock.

1

One team. One number.

Agree the customer outcome and one shared benchmark before we talk roadmaps. It is not personal.

2

Be humble. Learn their problem first.

Card is solving some of our biggest customer problems. Obsess over them, ask what unlocks leverage for Card this quarter, and find where that meets the mass-market strategy.

3

Trade in assets and customer benefits, not just relational equity.

Income they can underwrite against. Collection timed to payday. A trade, not a favour.

4

Show, don't tell.

A small test beats a long argument. Card picks the guardrail. The data settles it.

5

Think outside the box. Keep the ambition.

If Card cannot move, ship without the card piece and add it at month 7. The promise never shrinks. Only the sequence bends.

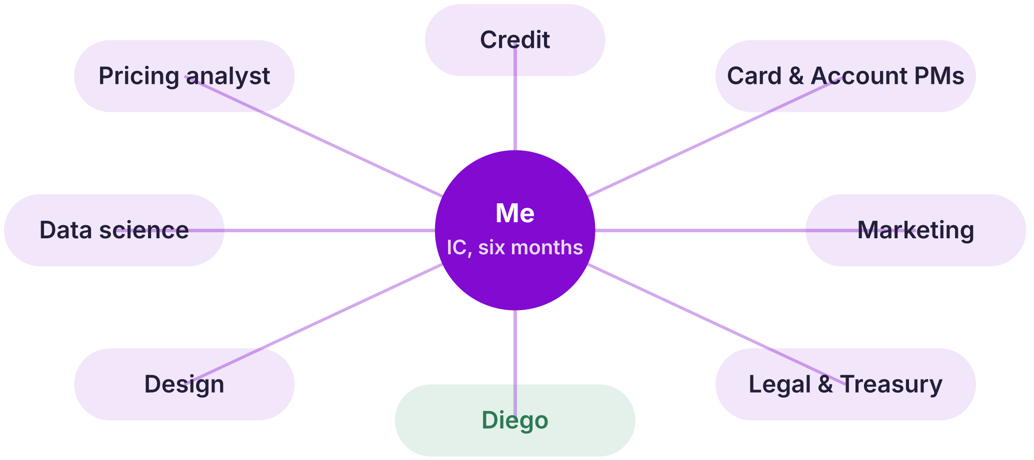
Keep the customer at the centre and it stops being personal. Nobody has to lose for Lupita to win.

TEAM & ORG DESIGN · Q5

Start as the team. Grow it as the customer wins.

Building and leading teams taught me to find the leverage first, then build the team around it. So I assume no headcount: six months as an IC with the partners who can hit the benchmarks, and roles only where owning the work directly adds leverage.

MONTHS 1–6 · ONE IC, SEVEN PARTNERS



BENCHMARK Salaries landing. Income behind Turbo balances. An elasticity number.

THE TEST A NEW ROLE MUST PASS

1 **The work recurs.**
Daily decisions, not a launch that ends.

2 **A partner carries it part-time, and it now gates the roadmap.**
Pricing analysis gating a rate call. Design gating Beto's package.

3 **Owning it moves a number we can name.**
Approval, loss, cost of funds, or income Nu can see.

RULE All three, or the partner keeps it. A role gets a business case, like a product.

Earn the team. Never build one for its own sake.

NU TE VE

Two years from now, Nu's customers bank with someone who can finally see them.

Lupita's salary lands here.

Beto's remesa counts here.

Both see a path to financial power.

One number turns the flywheel: the share of customers whose income Nu can see. Formal payroll or informal flows, salary or remesa. We will become the beloved bank of a customer's whole financial life, unleashing the economic power of the global majority.

In México, this is what it looks like.

APPENDIX · WHAT I AM WATCHING, AND WHAT THIS RESTS ON

Three risks. One page of sources.

1 **Customers get pickier about rate once Mercado Pago and Klar are banks.** most likely

They are not today. Cuenta Nu launched at 9% under an 11.25% policy rate. Measure elasticity by segment now, and hold the base on relationship rather than rate.

2 **We see something we should not.** trust

Exclusion by policy, outcome parity across gender and other biases, and an explanation we can show the customer. If we cannot show it, the model is using something it should not.

3 **Bigger lines, more bust-out, and a remesa is not a salary.** credit

Remittance income depends on someone offshore and moves with US labour, so a cohort can move together. Smaller lines, shorter tenors and a concentration limit, not a refusal to lend.

FACTS

Nu Holdings Q2 2026 results and July update · CNBV banca múltiple authorisation, 9 July 2026 · IMSS registered positions, June 2026 · INEGI ENOE, Q1 and July 2026 · CNBV/INEGI ENIF 2024 · Banxico policy announcements and the August Citi survey · CETES 28d auction, 1 September 2026 · Banxico remittances 2025 · Nu México published rendimientos, September 2026.

ASSUMPTIONS

The share of Nu México customers with income Nu can see is undisclosed; I assume low single digits · 65% lent is my target · ~25% net lending yield · personal-loan CAT near 85% · $340 is 200bp on a $16,840 month · Lupita and Beto are composites · prior-role evidence cited as effect sizes only.

Live model and both flows: claude.ai/code/artifact/93da0992-7c28-4c92-81cd-f67f16a3cfaa